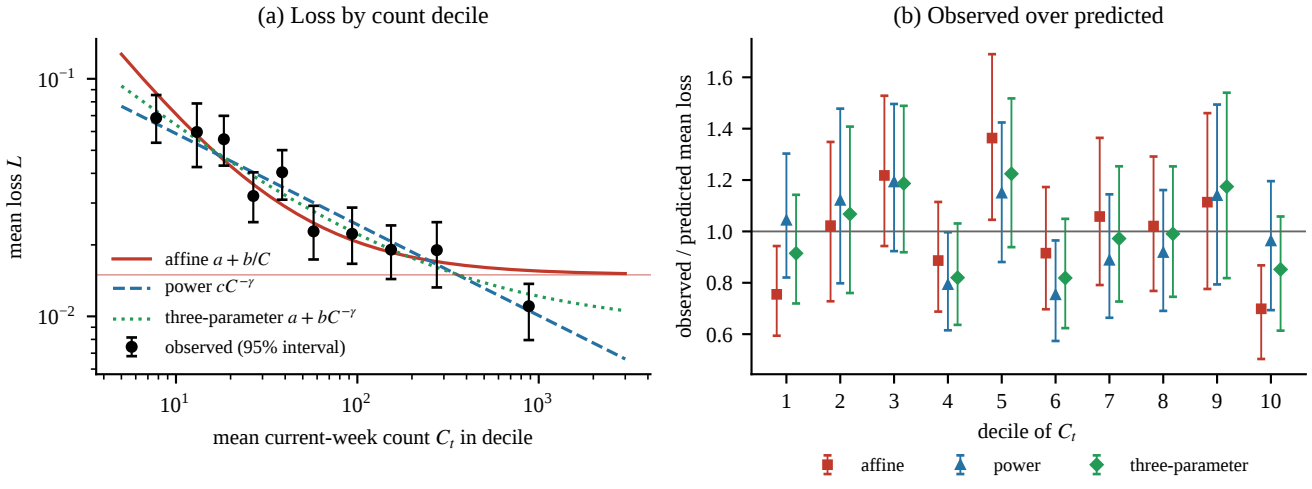
(a) Loss by count decile
mean loss L
10^{-1}
10^{-2}
affine $a + b/C$
power $cC^{-\gamma}$
three-parameter $a + bC^{-\gamma}$
observed (95% interval)
10^{1}
10^{2}
10^{3}
mean current-week count C_t in decile
(b) Observed over predicted
observed / predicted mean loss
1.6
1.4
1.2
1.0
0.8
0.6
1
2
3
4
5
6
7
8
9
10
decile of C_t
affine
power
three-parameter